



Ch 2 FUNCTIONING / FISCAL POLICY



European Business & Economics

Ch 1 : Context

European Idea
Institutional & Substantive Law
Single Market, EU Trade & Global Europe

= Contexts

Ch 2 : Functioning

Macroeconomic Governance under EMU
Monetary Policy

= Consequences

 ***Fiscal Policy***
Story of EMU

Ch 3 : Policy

Ch 4 : Businesses



Go to...

<https://www.adobe.com/express/feature/image/qr-code-generator#:~:text=Absolutely.,%2C%20and%20you're%20done.>

(From Free QR-CODE Generator : ADOBE)



[Business, Economy, EURO](#)
EU Commission Official Website

European Business & Economics



European Business & Economics

Fiscal Policy

ONE Monetary *Union* & SEVERAL Fiscal Policies

Treaty of Maastricht

Economic & Social Union

Tax & Spending

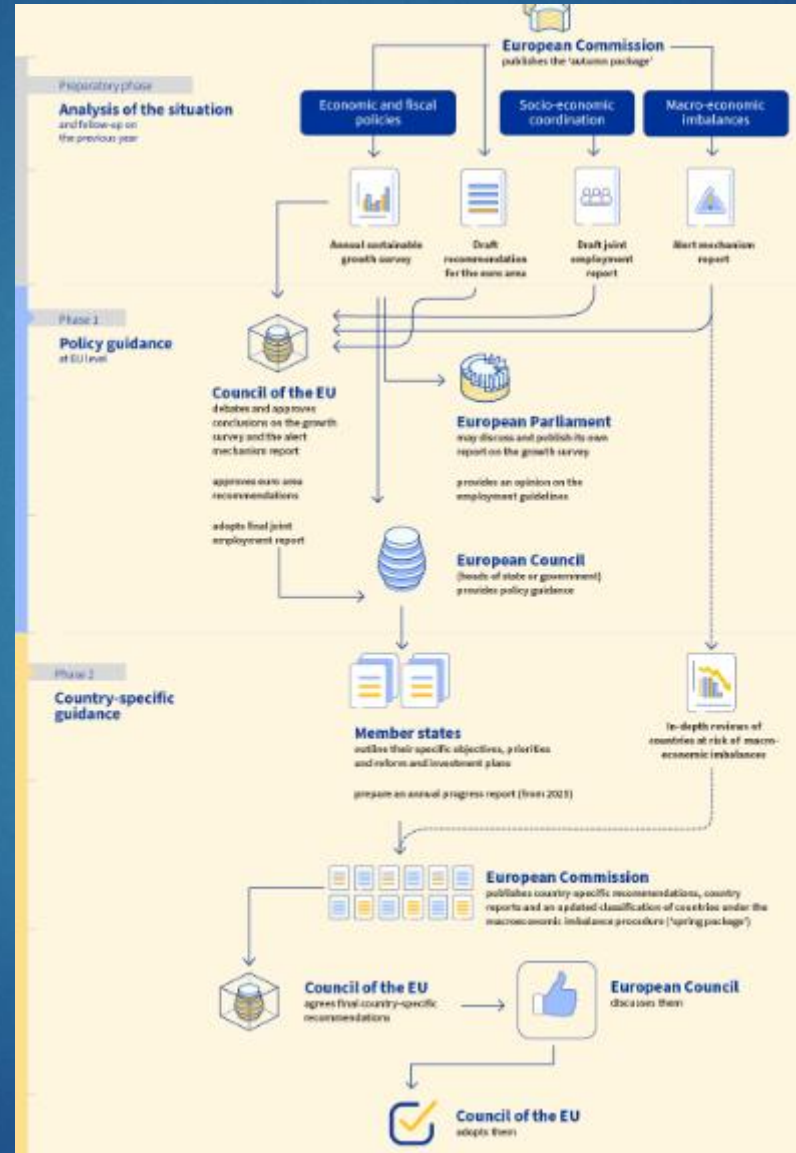
Coordination & Cohesion

Surveillance, Harmonization, Sanction

Stability & Growth Pact

European Semester

From :
<https://www.consilium.europa.eu/en/policies/economic-governance-framework/>



From : <https://www.consilium.europa.eu/en/infographics/european-semester/>

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Fiscal Policy

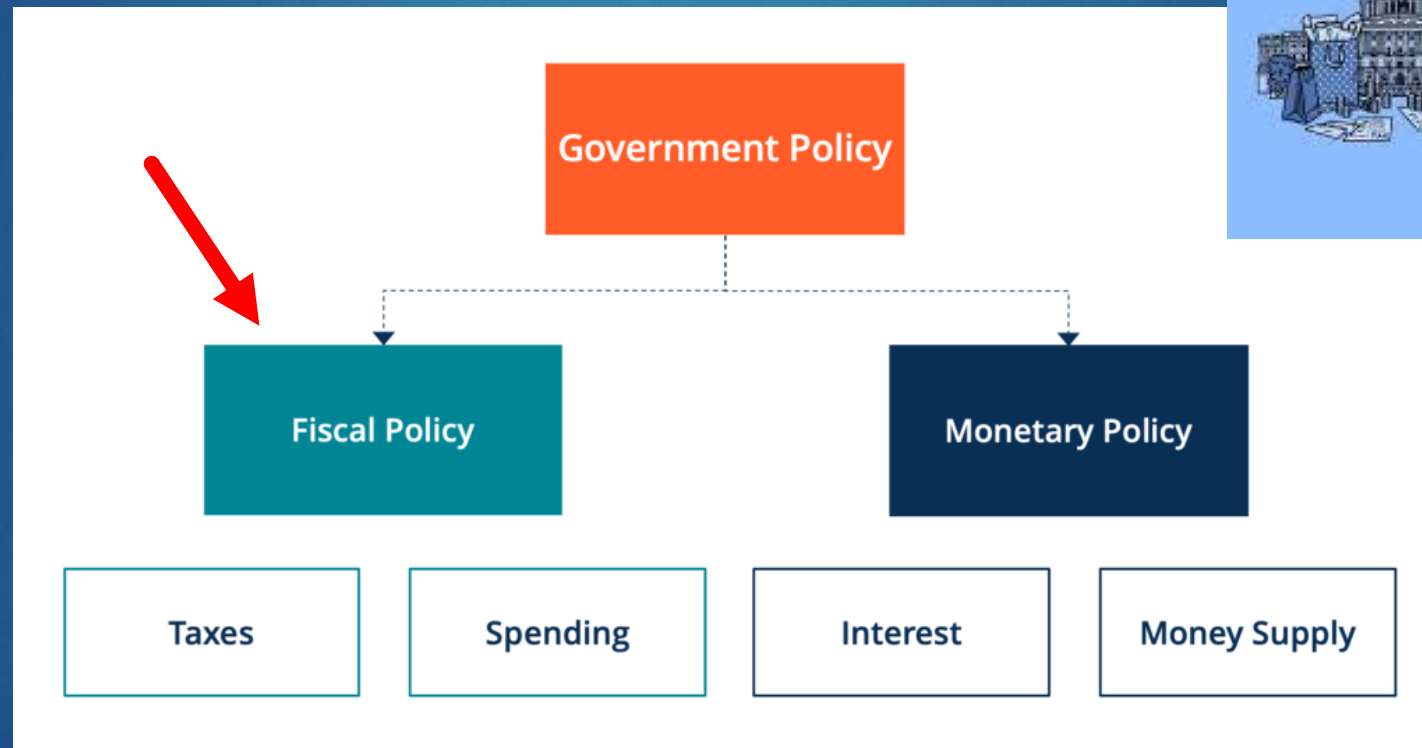
Fiscal policy refers to the government's use of spending, taxation, and borrowing to influence a nation's economic performance. **It aims to stabilize economic fluctuations, foster growth, and ensure equitable resource distribution.**

Economic policy covers a wide range of measures which governments use to manage their economy. These include monetary policy (money supply and demand) and fiscal policy (taxation, budget, job creation, etc).

In the European Union (EU), although economic policy is the responsibility of each EU country, there is considerable multilateral coordination of economic policies between the individual countries,

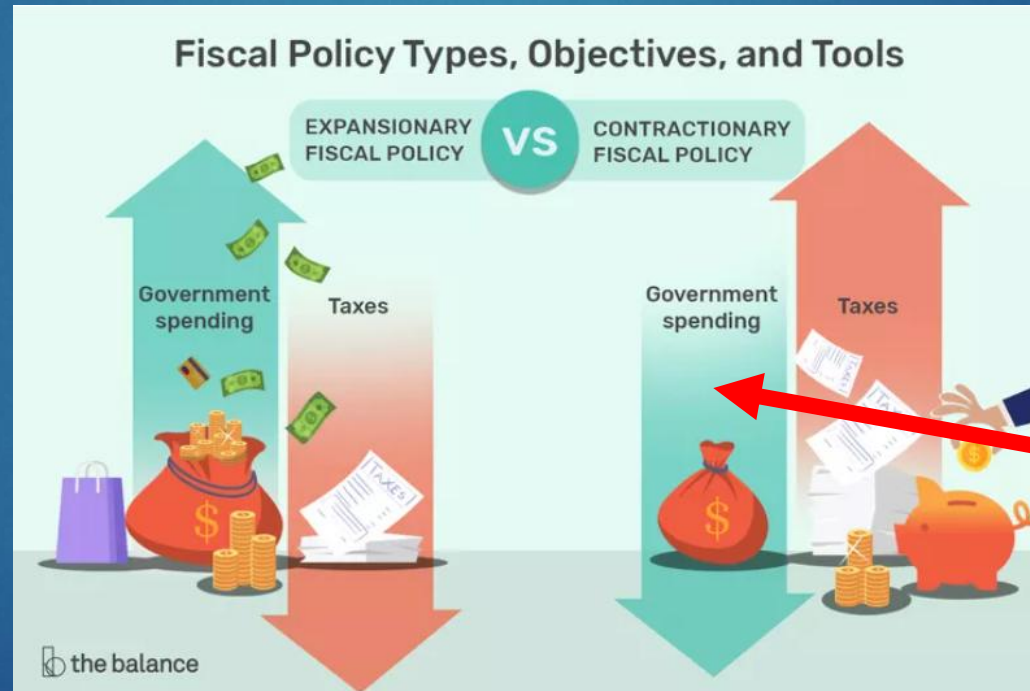
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A little Reminder



from : <https://corporatefinanceinstitute.com/resources/economics/what-is-fiscal-policy/>

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Spending

from : <https://www.thebalancemoney.com/what-is-fiscal-policy-types-objectives-and-tools-3305844>



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EU Law

Treaty of Maastricht

(Treaty on European Union, 1992)

Treaty of Maastricht Title VI Economic & Monetary Policy

Ch 1 Economic Policy (art 102) & Ch 2 Monetary Policy (Art 105)

Convergence criteria & Single Currency

European Business & Economics

PRACTICAL consequences ...



Spending / Cut

Consequences ...a Debate...



PRACTICAL consequences ...

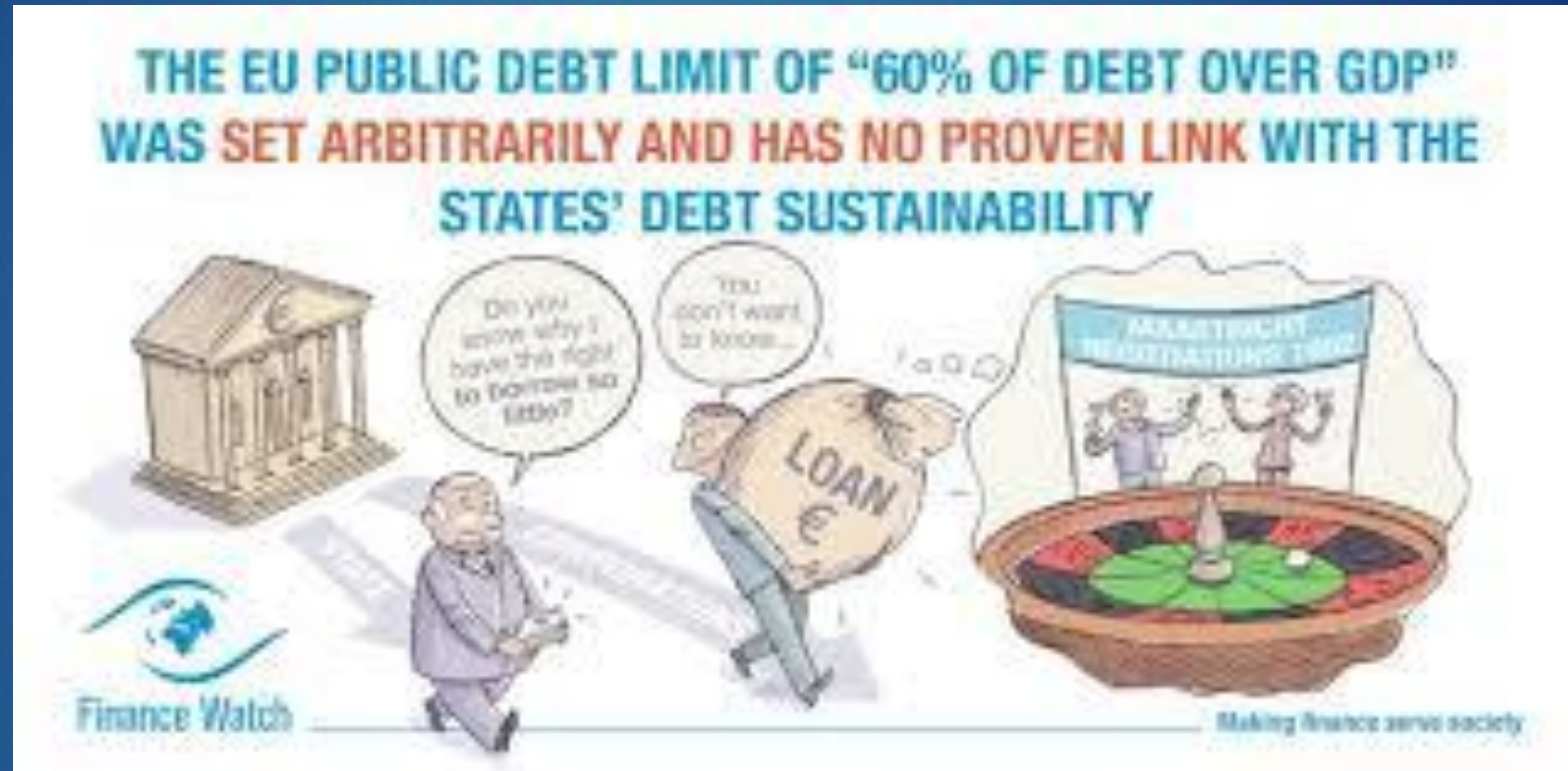


from : <https://www.finance-watch.org/campaign/maastrichtanniversary/>

Click here for Official WEBLINK



PRACTICAL consequences ...



from : <https://www.finance-watch.org/blog/debunking-eight-theses-about-european-public-debt-and-fiscal-rules/>

Click here for Official WEBLINK

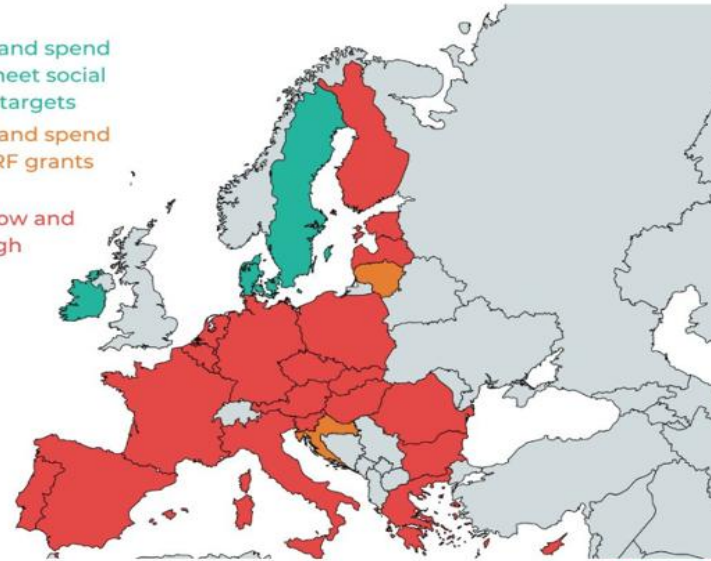
PRACTICAL consequences ...

EU FISCAL RULES MEAN 90% OF EUROPE CAN'T MEET SOCIAL AND CLIMATE TARGETS

Can borrow and spend enough to meet social and climate targets

Can borrow and spend enough if RRF grants continue

Cannot borrow and spend enough



Source: NEF analysis

NEF

from : <https://news.industrial-europe.eu/Article/1058>

Click here for Official WEBLINK



INTERLUDE...



Today's Top Stories...

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EURACTIV Official News Website

Today's Top Stories...

<https://www.consilium.europa.eu/en/meetings/european-council/2026/03/19/>



EU COUNCIL March 19, 2026
Official News Website



European Semester

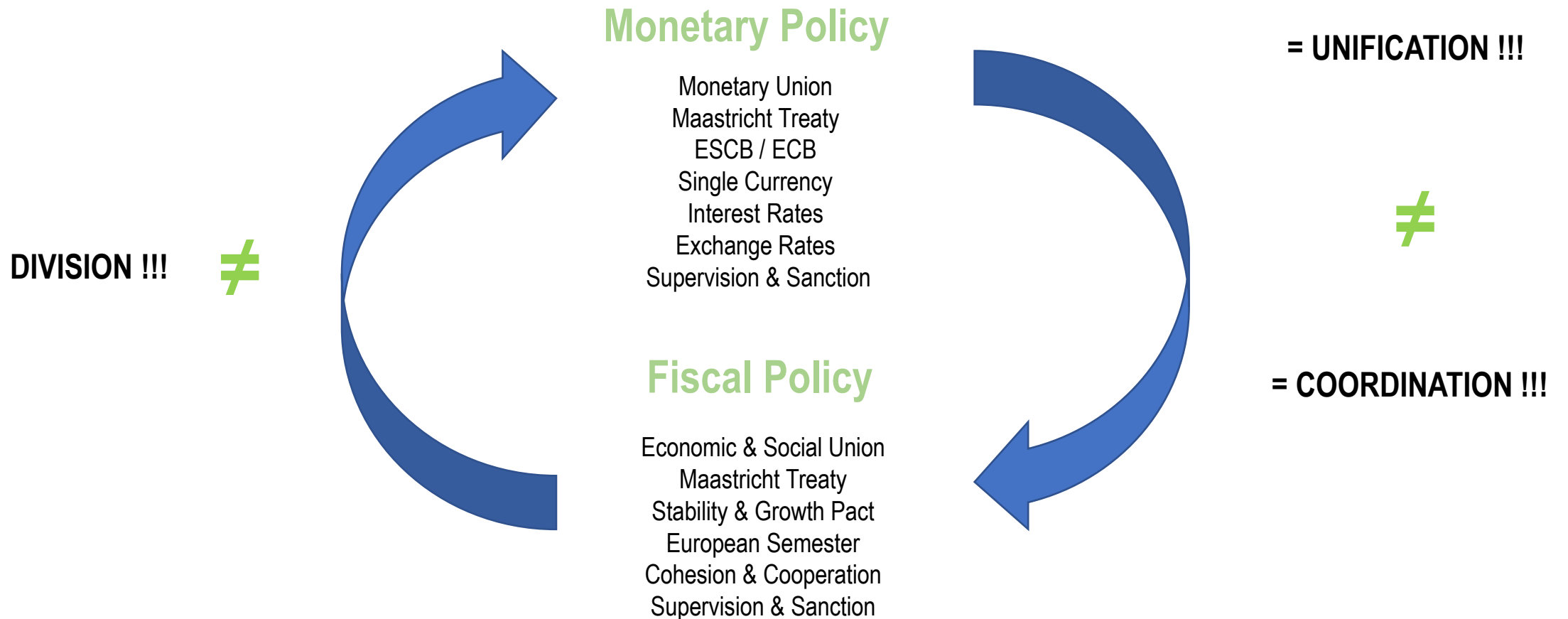
The European Council addressed the priorities for the 2026 European Semester and endorsed the recommendation on the economic policy of the euro area.

→ [The European Semester explained \(background information\)](#)

European defence and security

Given the further deteriorating geopolitical environment, EU leaders **discussed Europe's defence readiness**, including progress on:

Logic behind the EMU...



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EU Fiscal Coordination Framework



Maastricht Criteria

Harmonization instead of Union...if possible

EU Convergence

First coordination framework...but for the Euro changeover
(since 1992)

EU macroeconomic Surveillance
Macroeconomic indicators revisited
Asymmetric shocks

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EU Fiscal Coordination Framework

During Stage 2 of EMU

(1 January 1994 - 31 December 1998)

Effort is made to achieve convergence between the economies of the Member States.
Main measurement criteria are laid down in the Maastricht Treaty, in December 1991.

(from : <https://www.nbb.be/en/monetary-policy/general-framework/institutional-framework-monetary-policy/maastricht-convergence>)

- **Low inflation**. The average *inflation rate* observed during a one-year period before a country is examined for admission to the single currency must not be more than 1.5% higher than the average of the three best performing Member States in terms of price stability.
- **Sound public finances**. The government deficit must not exceed 3% of gross domestic product (*GDP*) and the public debt must not exceed 60 % of GDP, unless the ratio is sufficiently diminishing and approaching the reference value at a satisfactory pace. This latter criterion is therefore more flexible with greater scope for discretion.
- **Stable exchange rates**. Candidate countries must have observed the normal fluctuation margins provided for by the exchange rate mechanism of the *European Monetary System* for at least two years, without devaluing their currency against that of any other Member State.
- **Low interest rates**. During the year preceding the examination, the average long-term interest rate must not be more than 2% above that of the three best performing Member States in terms of price stability.



March 12, 2026... as last year...



Where should we spend our money on...Pensions, Defence...Health...Migrants...

Your choice...our Life !

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EU Fiscal Coordination Framework



Stability and Growth Pact

Sound public finances and coordinate fiscal policies.
(budget deficit & public debt)

Coordination framework...for a sustainable EMU
(since 1997)

EU macroeconomic Surveillance reinforced
Macroeconomic indicators revisited
Asymmetric shocks

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EU Fiscal Coordination Framework



European Semester

Annual policy coordination framework (first 6 months of the year)
(since 2011 after the 2008 crisis)

More dialogues & but more imbalance procedures

Alert Mechanisms & recommendations

EU macroeconomic Surveillance reinforced

Macroeconomic indicators revisited

Asymmetric shocks

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Story of EMU

Introduction (Handout p 60)

Periodization

Logical Continuation

History & Story

Customers

Companies

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Story of EMU



- Post-War Era (Handout p 62)
- Nixon Shock (Handout p 63)
- Thatcher & Reagan Era (Handout p 63)
- Fall of the Berlin Wall (Handout p 64)
- The Maastricht Treaty (Handout p 64)
- EURO Coins & Notes (Handout p 65)
- Banking & Financial Crisis (Handout p 65)
- The COVID-19 Crisis (Handout p 66)
- The Russia-Ukraine War (Handout p 67)

WORKSHOP EMU STORY

Activity

- Be knowledgeable about the EURO Currency
- Check in History HOW it all happened (= a EURO Storytelling !!!)
- May be collected by the end of this session (Names, groups,...)

Instructions

- Make groups of 7 Students (Handout p 62 and 68)
- Google the INFO about your part (1 to 9, share the task)
- Prepare a objective report + YOUR personal Opinion : was the emergence easy or difficult ?

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Workshop Explanation & Preparation



Topic 1 : Post-War Era... (Handout p 62)

Topic 2 : Nixon Shock... (Handout p 63)

Topic 3 : Thatcher & Reagan Era... (Handout p 63)

Topic 4 : Fall of the Berlin Wall... (Handout p 64)

Topic 5 : The Maastricht Treaty... (Handout p 64)

Topic 6 : EURO Coins & Notes... (Handout p 65)

Topic 7 : Crises (Banking, COVID-19, Ukraine, Gaza, Iran....)(Handout p 67)

And ALONE : YOUR personal conclusion (Handout p 67)

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Ch 1 : Context

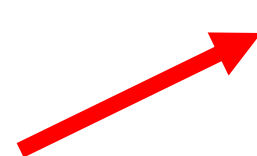
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 **Story of EMU**

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Story of EMU



Topic 1 : Post-War Era... (Handout p 62)

Topic 2 : Nixon Shock... (Handout p 63)

Topic 3 : Thatcher & Reagan Era... (Handout p 63)

Topic 4 : Fall of the Berlin Wall... (Handout p 64)

Topic 5 : The Maastricht Treaty... (Handout p 64)

Topic 6 : EURO Coins & Notes... (Handout p 65)

Topic 7 : Crises (Banking, COVID-19, Ukraine, Gaza, Iran....)(Handout p 67)

And YOUR conclusion (Handout p 67)

ACTIVITY 1

- VIDEO « *Imperfect Union : the Eurozone* » (2013, Great Decisions, FPA, 24:49)
- Click on : <https://www.youtube.com/watch?v=LpwpliU-5n0>

Instructions

- Listen to this summary of the Eurozone Crisis (Handout p 32 and 33)
- Make notes
- Question : what went wrong in the Eurozone ? What should we avoid in the future ?



Activity 2

-- VIDEO « *Emerging stronger from the crisis: the European vision*” (EU Commission, 06:16)

- Click on : <https://www.youtube.com/watch?v=0B3zNcFYqj0>

Instructions

- - Make notes
- Make a link after the explanation with the theoretical context

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KEY EU POLICY MOMENTS TO WATCH IN 2026

THE YEAR OF THE CAP & BIG BUDGET OVERHAUL

